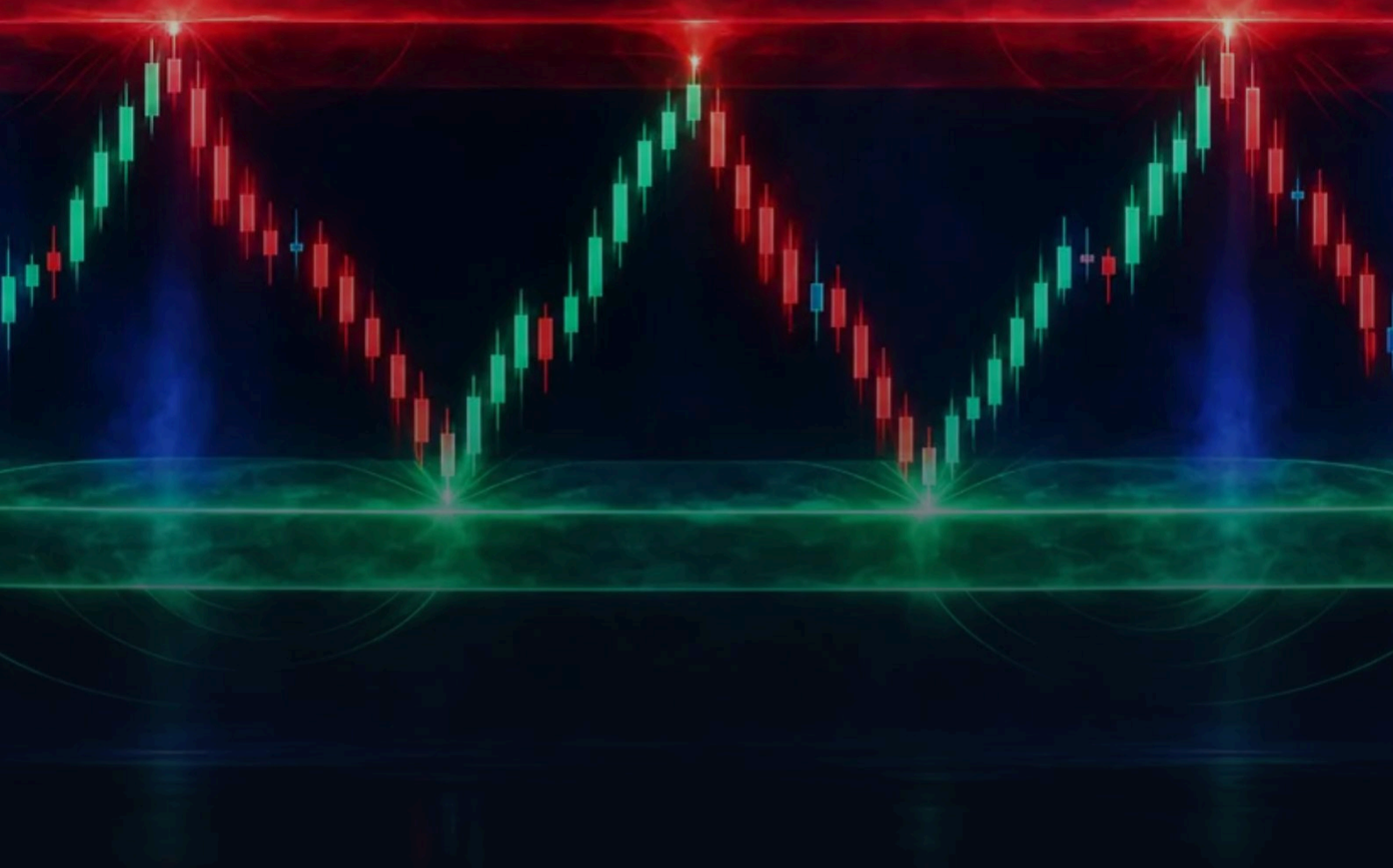




PRICE ACTION · INTERMEDIATE

Supply & Demand Masterclass

The1% Workbook

Build, grade and trade supply and demand zones with an entry, a stop and a target. Every lesson, chart and practice task from the course, with space for your own notes.

7

LESSONS

9

CHARTS

10

QUIZ QUESTIONS

~4h

STUDY TIME

What you will learn

- ✓ Explain why supply and demand zones form, in terms of real unfilled orders.
- ✓ Draw a zone with a precise proximal and distal line, and grade its quality.
- ✓ Identify the four formations (RBR, DBR, RBD, DBD) on any chart.
- ✓ Plan a complete zone trade: entry type, stop, target and management.

Contents

THE LOGIC OF ZONES

01	Why supply and demand zones exist	8 min
02	The four formations: RBR, DBR, RBD, DBD	9 min

DRAWING AND GRADING

03	Drawing a zone correctly	8 min
04	Grading zones: which ones to trade	10 min

EXECUTING ZONE TRADES

05	Entries: limit order or confirmation	9 min
06	Stops, targets and management	9 min
07	Multi-timeframe zones and the full routine	10 min

FINAL

Q	Final quiz and answer key	10 questions
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How to use this workbook

- Read one lesson at a time, then do its practice task on a real chart before moving on.
- Use the notes space at the end of each lesson to write what you saw in the market, not what the page says.
- Take the final quiz without looking back. Then check the answer key and revisit any lesson you missed.
- Take the same quiz online in the The1% Academy to earn your certificate.

Why supply and demand zones exist

Price moves because orders are imbalanced. A zone is the footprint of an imbalance that was so large it could not all be filled at once.

Price is an auction

At every moment, buyers and sellers are negotiating. When buy orders outweigh sell orders at a price, price must rise to find more sellers. When sell orders dominate, price must fall to find more buyers. That imbalance is what we call demand or supply.

Large participants such as banks and funds cannot fill their full size at one price without moving the market. They fill part of the order, price runs away, and the rest of the order stays unfilled. When price returns to that area, the remaining orders are still there, and price often reacts.

Drop, base, rally: a demand zone forms, then gets retested

DIAGRAM



The base is where the big orders were placed. The explosive rally shows they were not all filled. The return is the opportunity.

Zones versus support and resistance

- Support and resistance come from repeated touches. Zones come from one decisive departure.
- A support level gets weaker every time it is tested. A zone is strongest the first time price returns.
- Support is a line where price stopped. A zone is an area where orders are still waiting.

A zone is a hypothesis about unfilled orders, not a guarantee. That is why every zone trade has a stop.

KEY TAKEAWAYS

- Zones are the footprint of order imbalances too large to fill at once.
- The stronger the move away from a base, the more orders were likely left behind.
- Zones are strongest on the first return, the opposite of classic support.

COMMON MISTAKES

- Drawing a zone at every small pause in price.
- Treating a zone as a wall that cannot break.
- Confusing a heavily tested support line with a fresh demand zone.

PSYCHOLOGY CHECK

A zone gives you a place to wait. Waiting at a prepared level is the opposite of chasing, and it is how professionals trade.

PRACTICE TASK

On a daily chart, find three places where price left a tight base with an explosive move. Mark them and note whether price has returned yet.

The four formations: RBR, DBR, RBD, DBD

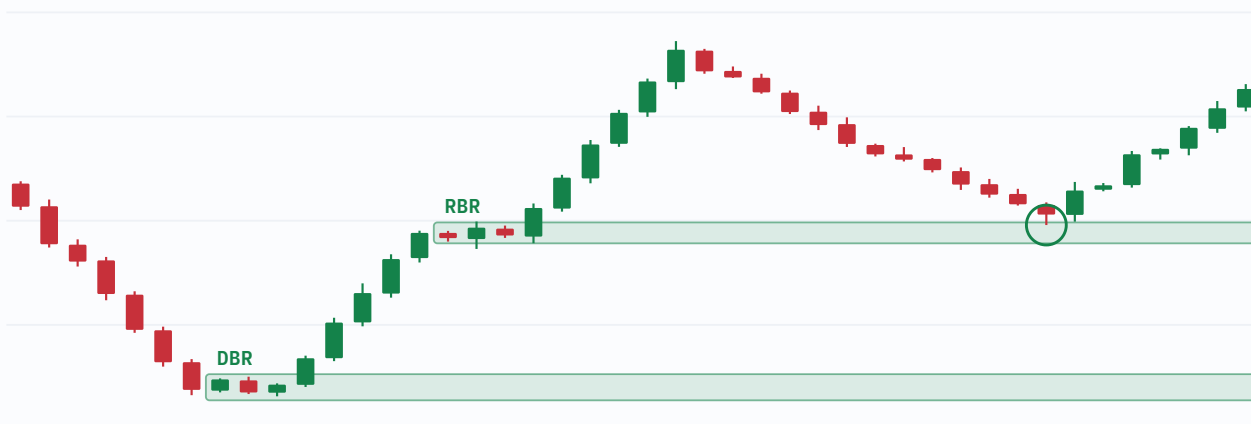
Every zone is one of four shapes, named by the move into the base and the move out of it. Two are demand, two are supply.

Demand: rally-base-rally and drop-base-rally

Drop-base-rally (DBR) is a reversal zone: price falls, pauses, then rallies hard. Rally-base-rally (RBR) is a continuation zone: price rises, pauses, then keeps rising. Both leave unfilled buy orders in the base.

DBR (reversal) and RBR (continuation) demand zones

DIAGRAM



Price returns to the RBR zone first because it is closer. The DBR below remains fresh.

Supply: rally-base-drop and drop-base-drop

Rally-base-drop (RBD) is a reversal supply zone. Drop-base-drop (DBD) is a continuation supply zone. Both leave unfilled sell orders behind.



The mirror image. Continuation zones (DBD) often give the higher-probability trades because they agree with the trend.

Which is better?

- Continuation zones (RBR, DBD) trade with the trend, so they tend to have higher win rates.
- Reversal zones (DBR, RBD) can offer larger moves but need a higher-timeframe reason to reverse.
- In both cases, the quality of the departure matters more than the name.

KEY TAKEAWAYS

- Demand: DBR (reversal) and RBR (continuation).
Supply: RBD (reversal) and DBD (continuation).
- Name a zone by the move in and the move out.
- Continuation zones agree with the trend and are usually the safer choice.

COMMON MISTAKES

- Trading reversal zones against a strong higher-timeframe trend without confirmation.
- Forgetting that a zone behind price (already passed) can become the target of a later move.
- Labelling a zone without checking the departure.

PSYCHOLOGY CHECK

Learning names can make you feel like you have an edge. The name is vocabulary. The edge is grading and patience, which come next.

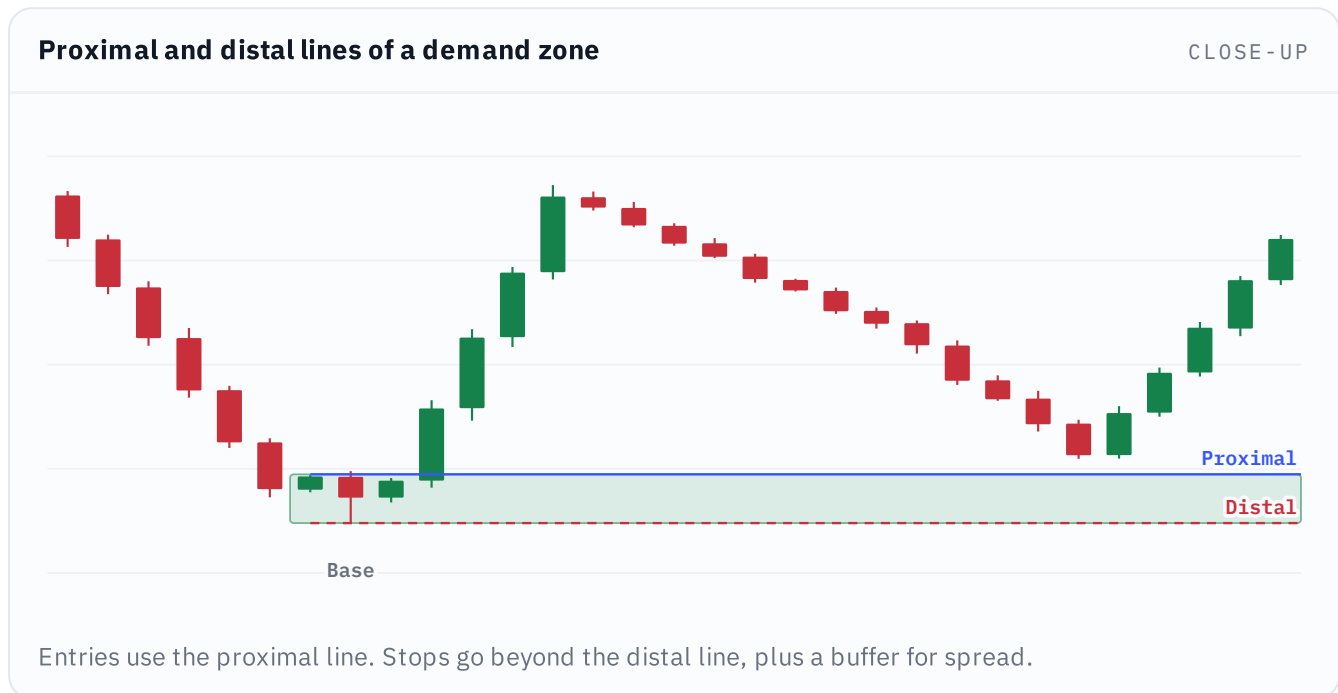
PRACTICE TASK

Find two examples of each formation on a 4H chart. Screenshot all eight and label them.

Drawing a zone correctly

Two lines define every zone: the proximal line (nearest to current price) and the distal line (furthest away). Draw them the same way every time.

The rule



- Identify the base: the small-bodied candles between the move in and the move out. Usually one to six candles.
- Demand: proximal line at the highest body of the base; distal line at the lowest wick of the base or the departure candle.
- Supply: proximal line at the lowest body of the base; distal line at the highest wick.

Zone width

If a zone is too wide, the stop becomes too large and the position size too small to be worth it. If a zone is very wide on the 4H, drop to the 1H inside it and look for a refined, tighter base within the same area.

A useful check: if the zone width is more than about a third of the daily average range, refine it.

KEY TAKEAWAYS

- Proximal = nearest edge (entry side). Distal = far edge (stop side).
- Demand: highest base body to lowest wick. Supply: lowest base body to highest wick.
- Refine wide zones on a lower timeframe.

COMMON MISTAKES

- Including the big departure candles in the zone, making it far too wide.
- Using the base wick for the proximal line, which makes entries too early.
- Placing the stop exactly on the distal line, with no buffer for spread and slippage.

PSYCHOLOGY CHECK

Precise lines remove decisions from the moment of the trade. The less you decide live, the less emotion gets involved.

PRACTICE TASK

Redraw every zone you marked in the last lesson using the proximal and distal rule. Measure each zone's width in pips or points.

Grading zones: which ones to trade

Most zones fail. The ones that hold share five features. Score every zone before you trade it, and trade only the top grades.

Strength of departure

The single most important factor. A zone where price left explosively, with large candles and no overlap, shows a big imbalance. A zone that price left slowly, with overlapping candles, shows a small one.

Strong versus weak departure

COMPARISON



Zone A left in three candles. Zone B took eleven. A holds more unfilled orders.

The1% zone scorecard

Example: scoring a 4H demand zone

SCORECARD

Departure		2 / 2
Freshness		2 / 2
Time at base		1 / 2
Trend alignment		2 / 2
Room to target		1 / 2

Total 8 / 10. The1% rule of thumb: trade 8 and above, watch 6 to 7, ignore anything lower.

- Departure: explosive (2), moderate (1), weak (0).
- Freshness: never retested (2), tested once (1), tested more (0).
- Time at base: 1 to 3 candles (2), 4 to 6 (1), more (0).

- Trend alignment: with the higher-timeframe trend (2), neutral (1), against (0).
- Room: at least 3R to the opposing zone (2), 2R (1), less (0).

Why freshness matters

Each time price returns to a zone, some of the remaining orders get filled. After two or three visits, there may be nothing left. The first return is the one with the most orders waiting.

KEY TAKEAWAYS

- Departure strength is the most important factor.
- Fresh zones hold better than tested ones.
- Score every zone out of 10; trade only 8 and above.

COMMON MISTAKES

- Trading every zone you draw instead of only the best ones.
- Ignoring trend alignment because the zone 'looks perfect'.
- Trading a zone with no room to a target.

PSYCHOLOGY CHECK

A scorecard is a pre-commitment device. It stops you from grading a zone higher just because you are bored and want to trade.

PRACTICE TASK

Score ten zones with the scorecard. After they play out, compare the results of zones that scored 8+ with the rest.

Entries: limit order or confirmation

There are two professional ways to enter a zone. Each has a cost. Pick one per setup type and stick with it.

Two entry methods

The same zone, two entries

COMPARISON



The confirmation entry is 1.1 points worse, but it only triggers after buyers have shown up.

- Limit entry (set and forget): a limit order at the proximal line. Best price and tightest stop, but you will be filled on zones that fail too.
- Confirmation entry: wait for price to enter the zone and show a reaction, such as a bullish engulfing candle or a lower-timeframe CHoCH. Fewer losers, but a worse price and some missed trades.

Choosing

Use limit entries for high-grade continuation zones in a clear trend. Use confirmation entries for reversal zones and for zones against the short-term momentum. Whatever you choose, write it in your plan so you do not decide based on how you feel that day.

Never widen the stop to make a confirmation entry fit. If the confirmation candle makes the stop too big, the trade is off.

KEY TAKEAWAYS

- Limit entry: best price, more losing trades.
- Confirmation entry: fewer losers, worse price and more missed trades.
- Choose by setup type, in advance, not by feel.

COMMON MISTAKES

- Switching methods trade by trade depending on mood.
- Chasing price after missing a limit entry.
- Taking a confirmation candle that forms far outside the zone.

PSYCHOLOGY CHECK

Missed trades hurt, and the pain pushes traders to chase. A missed trade costs 0R. A chased trade often costs 1R. Record missed trades in the journal to see that they are not losses.

PRACTICE TASK

Backtest 20 zone retests with both methods. Compare win rate, average R and the number of missed trades.

Stops, targets and management

The zone gives you the entry and the stop. The opposing zone gives you the target. The maths decides whether you take the trade at all.

The complete trade

Short from supply, target the opposing demand

WORKED EXAMPLE



Risk 1.5 points (entry to stop). Reward 6.5 points (entry to target just before demand). That is 4.3R.

Stops

- Place the stop beyond the distal line plus a buffer of the spread and a little volatility.
- If price closes beyond the distal line, the zone has failed. Accept it.
- Never move a stop further away. Only move it closer, and only for a structural reason.

Targets and management

- First target: just in front of the nearest opposing zone or swing point.
- Take partial profit at 2R, and move the stop to break-even only after a new swing forms in your favour.
- If there is less than 2R of room to the opposing zone, skip the trade.

Exit in front of the opposing zone, not inside it. The orders waiting there are the reason price will turn.

KEY TAKEAWAYS

- Stop beyond distal + buffer. Target in front of the opposing zone.
- At least 2R of room, or no trade.
- A close through the distal line means the zone has failed.

COMMON MISTAKES

- Setting targets at arbitrary round numbers instead of opposing zones.
- Holding through the opposing zone hoping for more.
- Moving the stop wider when price approaches it.

PSYCHOLOGY CHECK

The urge to move a stop is fear pretending to be analysis. Write the stop before the entry and treat it as a contract with yourself.

PRACTICE TASK

Plan five zone trades on paper with entry, stop, target and R. Only take the ones with 2R or more.

Multi-timeframe zones and the full routine

Higher-timeframe zones decide direction. Lower-timeframe zones decide timing. Combine them into a routine you can repeat every day.

Location: premium and discount

Look at the higher-timeframe range. Buying is best in the lower half (discount), selling in the upper half (premium). A demand zone in premium is weaker than the same zone in discount, because more buyers are already committed.

The 1% zone routine



Nested zones

The best setups often have a lower-timeframe zone sitting inside a higher-timeframe zone. The higher-timeframe zone gives the reason; the lower-timeframe zone gives a tighter entry and a smaller stop, which means a larger position for the same 1% risk.

KEY TAKEAWAYS

- Buy demand in discount, sell supply in premium.
- Higher timeframe for direction, lower timeframe for timing.
- A zone inside a zone gives the tightest, best-reasoned entries.

COMMON MISTAKES

- Trading lower-timeframe zones against a higher-timeframe zone.
- Skipping the grading step because the routine feels slow.
- Refining so far down that the zone no longer reflects real orders.

PSYCHOLOGY CHECK

A written routine turns trading from a series of emotional decisions into a checklist. On bad days the checklist is what keeps you safe.

PRACTICE TASK

Run the full six-step routine every morning for one week on two instruments. Log every zone that passes the grade, whether you trade it or not.

Write what you saw in the market while doing the practice tasks: the instrument, the date, what the lesson predicted and what actually happened.

Test yourself

10 questions. Aim for 80% or better, then take the quiz online for your certificate.

1. Why do supply and demand zones form?

- A. Because of moving averages
- B. Large orders cannot be filled at once, so some remain unfilled at the base
- C. Because candles are green or red
- D. Because brokers set them

2. Unlike classic support, a demand zone is usually strongest...

- A. After five tests
- B. On the first return
- C. Only on Mondays
- D. When it is very wide

3. Price rallies, pauses, then keeps rallying. The zone is...

- A. DBR
- B. RBD
- C. RBR
- D. DBD

4. Rally-base-drop (RBD) creates...

- A. A continuation demand zone
- B. A reversal supply zone
- C. A continuation supply zone
- D. No zone

5. For a demand zone, the proximal line is drawn at...

- A. The lowest wick
- B. The highest body of the base
- C. The top of the departure candle
- D. A round number

6. The most important factor when grading a zone is...

- A. Its colour
- B. The strength of the departure
- C. How many times it was tested
- D. The day of the week

7. Using The1% scorecard, a zone scoring 6/10 should be...

- A. Traded with double size
- B. Watched but not traded
- C. Traded with a wider stop
- D. Deleted from the chart

8. The main cost of a confirmation entry is...

- A. A larger stop and a worse price
- B. More losing trades
- C. It is not allowed on forex
- D. No cost

9. Where should the target of a zone trade usually go?

- A. Inside the opposing zone
- B. Just in front of the opposing zone or swing
- C. At any round number
- D. There should be no target

10. A demand zone in the premium half of the higher-timeframe range is...

- A. Stronger than one in discount
- B. Weaker than one in discount
- C. The same
- D. A supply zone

Answers and explanations

#	ANSWER	WHY	REVIEW
1	B. Large orders cannot be filled at once, so some remain unfilled at the base	Zones are the footprint of order imbalances that were too large to fill at one price.	Lesson 1
2	B. On the first return	Each return fills some of the remaining orders. The first return has the most waiting.	Lesson 1
3	C. RBR	Rally-base-rally is a continuation demand zone.	Lesson 2
4	B. A reversal supply zone	Price rallied into the base and dropped out of it: reversal supply.	Lesson 2
5	B. The highest body of the base	Proximal = nearest edge to price = the highest body of the base.	Lesson 3
6	B. The strength of the departure	An explosive departure signals a large imbalance and more unfilled orders.	Lesson 4
7	B. Watched but not traded	Trade 8 and above, watch 6 to 7, ignore anything lower.	Lesson 4
8	A. A larger stop and a worse price	Confirmation gives a worse price and misses some trades, in exchange for fewer losers.	Lesson 5
9	B. Just in front of the opposing zone or swing	Exit in front of the orders that will turn price.	Lesson 6
10	B. Weaker than one in discount	Buying is best in discount; a zone in premium has less edge.	Lesson 7

Keep going

Finished the workbook? Enroll in the next masterclass in the The1% Academy, log every practice trade in the journal, and review your results in R every week.

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